

THREE ARROWS FALLS

081 / JULY 2022 / THREE ARROWS CAPITAL / RARE

OVERLEVERAGED.

Three Arrows Capital (3AC), the crypto investment firm co-founded by Su Zhu and Kyle Davies, became a major casualty of the 2022 market downturn. Its collapse illustrated how leverage could turn falling asset prices into a wider credit crisis. Borrowed money magnified losses, while repayment demands and forced selling increased pressure. In July, Bank of England deputy governor Jon Cunliffe identified 3AC among the funds overwhelmed by these dynamics.

The formal unwind began before July. On 27 June 2022, a British Virgin Islands court placed Three Arrows Capital into liquidation and appointed Teneo's Russell Crumpler and Christopher Farmer as joint liquidators. That same day, Voyager announced a default on its loan of 15,250 bitcoin and 350 million USDC. A fund's investment losses had become a serious problem for a lender that had trusted it with substantial credit.

On 1 July, the liquidators commenced a Chapter 15 case in New York to support the foreign liquidation. That US filing is the July milestone marked by this card, not the initial liquidation order. Voyager subsequently entered Chapter 11, citing market turmoil and 3AC's default. The episode exposed the links between leveraged funds, lenders and their customers: when one heavily indebted borrower failed, the damage did not stay inside its own balance sheet.

DETAILS IN THE ART

01 Three arrows on the hull

The three painted arrows identify Three Arrows Capital. Their upward direction contrasts with a boat riding dangerously low: ambition is no guarantee of staying afloat.

02 An overloaded balance sheet

Gold bars and bundled paperwork weigh down the vessel. They symbolise accumulated positions and financial obligations, not a literal claim that 3AC held this cargo.

03 A bucket against the flood

The frantic figure bails water from a sinking boat. This is a fictional image of a liquidity crisis: a small rescue effort struggles against an overwhelming burden.

04 Singapore beyond the water

Marina Bay Sands and the ArtScience Museum locate the metaphor in Singapore, associated with the firm. Falling graphs on loose papers echo the wider market downturn.

SOURCE & ART NOTE

Sources: Teneo: 3AC liquidation; US court: Chapter 15 timeline; Bank of England: crypto turmoil; Voyager: loan default; Voyager: restructuring. The boat, cargo and character are fictional editorial symbolism, not a documented incident or portrait. OVERLEVERAGED. is an editorial caption, not a historical quotation.